

Slow business recovery; AI security to be growth driver...

Partnership with China Mobile to gradually create synergy

Action: Maintain Neutral with lower TP of CNY13.37 (CNY20 earlier), implying 0.4% downside

Venustech reported 1H26 results with revenue / earnings up 9% / 133% y-y to CNY1.2bn / CNY31mn in 1H26, translating to +15% / +81% y-y growth in 2Q26, driven by better synergies with its parent company China Mobile Group (unlisted), which contributed 31% of total sales in 1H26, and better demand from AI-powered products, in our view. We think IT security demand may slowly recover going forward, driven by large language models (LLMs) and AI deployment in both government and enterprise markets, and should partially offset headwinds on traditional security products. Rising demand for AI security could drive Venustech's topline growth, but we think the company still faces margin pressure due to low-margin projects with China Mobile (941 HK, Buy). We introduce FY26F/27F/28F revenue forecasts with 12%/16%/18% y-y growth, and we project FY26F earnings turning positive, and FY27/28F earnings to grow 2301%/83% y-y from a low base. We maintain our Neutral rating with a revised DCF-based TP of CNY13.37 (methodology and assumptions unchanged), implying 127.7x FY27F EPS of CNY0.10. The stock is currently trading at 128.2x FY27F EPS.

Cybersecurity business demand recovering driven by AI security

We think Venustech's cybersecurity business is recovering in FY26F, driven by AI-powered products such as Agentic SOC and LLM application firewall, and rising security demand from AI deployment. According to Venustech, the Agentic SOC intelligent security operation platform has already achieved large-scale deployment in key industries such as government, telecom operators, and finance, and revenue from Agentic SOC increased 32.0% y-y in 1H26. Moreover, LLM application firewall revenue increased by 238.2% y-y and "Data Oasis" new product revenue grew 125.5% y-y in 1H26. We believe Venustech is leveraging its AI capabilities in security products and services, and we expect it will take time to increase penetration of AI-related business. We estimate a FY26-28F revenue CAGR of 8%/25% for the security products/security services segments.

Gross margin still under pressure; OCF improving

We think Venustech's GPM will continue to be diluted due to fierce competition and low-margin projects with China Mobile. Meanwhile, we note that its OCF turned positive and grew by 143.0% y-y in 1H26, thanks to effective management on account receivables.

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	2,338	4,352	2,621	0	3,031	0	3,583
Reported net profit (mn)	-572	384	5	0	127	0	232
Normalised net profit (mn)	-572	384	5	0	127	0	232
FD normalised EPS	-47.24c	31.28c	0.44c		10.47c		19.15c
FD norm. EPS growth (%)	-	717.2	-		2,301.4		82.9
FD normalised P/E (x)	-	-	3,077.7	-	128.2	-	70.1
EV/EBITDA (x)	-	-	283.9	-	80.8	-	50.1
Price/book (x)	1.5	-	1.5	-	1.5	-	1.5
Dividend yield (%)	-	-	-	-	-	-	-
ROE (%)	-5.1	3.2	0.0		1.2		2.1
Net debt/equity (%)	net cash	net cash	net cash		net cash		net cash

Source: Company data, Nomura estimates

Rating Remains **Neutral**

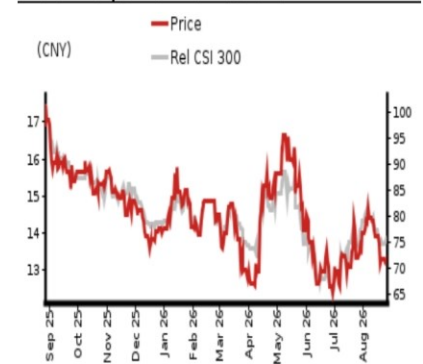
Target price Reduced from CNY 20.00 **CNY 13.37**

Closing price 27 August 2026 **CNY 13.42**

Implied upside **-0.4%**

Market Cap (USD mn) 2,419.1
ADT (USD mn) 59.7

Relative performance chart



Source: LSEG, Nomura

Research Analysts

China Technology

Bing Duan - NIHK

bing.duan1@nomura.com

+852 2252 2141

Ethan Zhang - NIHK

ethan.zhang@nomura.com

+852 2252 2157

Key data on Venustech

Performance

(%)	1M	3M	12M		
Absolute (CNY)	-0.1	-8.8	-20.7	M cap (USDmn)	2,419.1
Absolute (USD)	0.5	-8.0	-15.5	Free float (%)	63.3
Rel to CSI 300	2.2	-2.4	-25.4	3-mth ADT (USDmn)	59.7

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	3,315	2,338	2,621	3,031	3,583
Cost of goods sold	-1,367	-975	-999	-1,108	-1,288
Gross profit	1,948	1,362	1,622	1,923	2,296
SG&A	-2,075	-1,899	-1,631	-1,795	-2,050
Employee share expense					
Operating profit	-127	-537	-9	128	245
EBITDA	-60	-470	55	194	313
Depreciation	-68	-67	-63	-66	-67
Amortisation					
EBIT	-127	-537	-9	128	245
Net interest expense	60	15	11	8	7
Associates & JCEs					
Other income	-252	-114	4	4	5
Earnings before tax	-319	-635	6	141	257
Income tax	91	58	-1	-13	-23
Net profit after tax	-227	-577	5	128	234
Minority interests	1	5	0	-1	-2
Other items					
Preferred dividends					
Normalised NPAT	-226	-572	5	127	232
Extraordinary items					
Reported NPAT	-226	-572	5	127	232
Dividends	0	0	0	0	0
Transfer to reserves	-226	-572	5	127	232

Valuations and ratios

Reported P/E (x)	—	—	3,077.7	128.2	70.1
Normalised P/E (x)	-72.7	-28.4	3,077.7	128.2	70.1
FD normalised P/E (x)	—	—	3,077.7	128.2	70.1
Dividend yield (%)	—	—	—	—	—
Price/cashflow (x)	—	56.7	—	174.7	79.2
Price/book (x)	1.4	1.5	1.5	1.5	1.5
EV/EBITDA (x)	—	—	283.9	80.8	50.1
EV/EBIT (x)	—	—	—	122.3	63.8
Gross margin (%)	58.8	58.3	61.9	63.5	64.1
EBITDA margin (%)	-1.8	-20.1	2.1	6.4	8.7
EBIT margin (%)	-3.8	-23.0	-0.3	4.2	6.8
Net margin (%)	-6.8	-24.5	0.2	4.2	6.5
Effective tax rate (%)	—	—	9.1	9.1	9.1
Dividend payout (%)	—	—	0.0	0.0	0.0
ROE (%)	-3.2	-5.1	0.0	1.2	2.1
ROA (pretax %)	-1.6	-4.5	-0.1	1.0	1.8

Growth (%)

Revenue	1.2	-29.5	12.1	15.6	18.2
EBITDA	-33.5	—	—	253.0	61.1
Normalised EPS	-28.1	—	—	2,301.4	82.9
Normalised FDEPS	-28.1	—	—	2,301.4	82.9

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	-60	-470	55	194	313
Change in working capital	-387	653	-369	-375	-373
Other operating cashflow	132	104	286	274	266
Cashflow from operations	-315	287	-28	93	205
Capital expenditure	-266	-173	-173	-173	-173
Free cashflow	-581	114	-201	-80	32
Reduction in investments	0				
Net acquisitions					
Dec in other LT assets	0				
Inc in other LT liabilities	0				
Adjustments	-1,985	-1,078	0	0	0
CF after investing acts	-2,566	-964	-201	-80	32
Cash dividends	0	0	0	0	0
Equity issue	0	0	0	0	0
Debt issue	0	0	0	0	0
Convertible debt issue					
Others	3,176	-125	0	0	0
CF from financial acts	3,176	-125	0	0	0
Net cashflow	610	-1,089	-201	-80	32
Beginning cash	1,354	1,964	875	674	594
Ending cash	1,964	875	674	594	626
Ending net debt	-1,340	-861	-660	-580	-613

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	1,964	875	674	594	626
Marketable securities					
Accounts receivable	5,025	4,376	5,032	5,737	6,483
Inventories	463	407	427	448	471
Other current assets	951	806	806	806	806
Total current assets	8,402	6,463	6,938	7,584	8,385
LT investments					
Fixed assets	617	581	607	628	644
Goodwill	365	364	204	45	-115
Other intangible assets	4,394	5,603	5,574	5,544	5,515
Other LT assets					
Total assets	13,778	13,011	13,324	13,801	14,428
Short-term debt	17	14	14	14	14
Accounts payable	1,865	1,538	1,845	2,196	2,591
Other current liabilities	326	456	456	456	456
Total current liabilities	2,208	2,007	2,315	2,665	3,061
Long-term debt	0	0	0	0	0
Convertible debt					
Other LT liabilities	142	160	160	160	160
Total liabilities	2,350	2,168	2,475	2,826	3,221
Minority interest	13	0	0	0	0
Preferred stock					
Common stock	11,416	10,843	10,849	10,975	11,207
Retained earnings					
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	11,416	10,843	10,849	10,975	11,207
Total equity & liabilities	13,778	13,011	13,324	13,801	14,428

Liquidity (x)

Current ratio	3.81	3.22	3.00	2.85	2.74
Interest cover	—	—	—	—	—

Leverage

Net debt/EBITDA (x)	—	—	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	-18.46c	-47.24c	0.44c	10.47c	19.15c
Norm EPS (CNY)	-18.46c	-47.24c	0.44c	10.47c	19.15c
FD norm EPS (CNY)	-18.46c	-47.24c	0.44c	10.47c	19.15c
BVPS (CNY)	9.42	8.95	8.96	9.06	9.25
DPS (CNY)	0.00	0.00	0.00	0.00	0.00

Activity (days)

Days receivable	299.2	733.9	655.2	648.5	624.0
Days inventory	101.5	162.7	152.3	144.2	130.6
Days payable	441.1	636.5	618.2	665.8	680.2
Cash cycle	-40.4	260.0	189.3	126.9	74.4

Source: Company data, Nomura estimates

Company profile

Founded in 1996 by Dr. Yan Wangjia, Venustech is one of the leading IT security solution providers in China, with products covering firewall / UTM, VPN, IDS / IPS, etc. In 2022, the company established a strategic partnership with China Mobile Group, which now is the actual controller and largest shareholder of Venustech.

Valuation Methodology

Our TP of CNY13.37 is based on a DCF valuation model with a WACC of 10.7% and terminal growth rate of 3%. Cash flows are discounted back to end-2026F. Our TP implies 127.7x 2027F EPS of CNY0.10. The benchmark index is CSI300.

Risks that may impede the achievement of the target price

Downside risks include: 1) slower-than-expected IT security spending recovery from key downstream industries, including government, and finance; 2) fiercer competition from other IT security companies in China; 3) slower-than-expected product and market development with China Mobile Group; 4) worse-than-expected geopolitical risks. Upside risks include: 1) faster-than-expected IT security spending recovery from key customers; 2) faster-than-expected industry consolidation and less competition; 3) faster-than-expected product ramp up from China Mobile Group.

ESG

Venustech is a leading IT security software company in China. The company's products and solutions are eco-friendly and energy efficient. On social responsibility, Venustech helps enterprise and industrial clients to transform themselves digitally with its IT solutions, and better approach the "low carbon" or "carbon neutral" goals. The company is committed to achieve high standards of corporate governance, and safeguard the interests of shareholders, enhance corporate value through well-defined business strategies and policies, and communicate with market transparently.

1H26 and 2Q26 results review

Venustech reported 1H26 results with revenue / earnings delivering 9% / 133% y-y growth to CNY1.2bn / CNY31mn in 1H26, translating to +15% / +81% y-y growth in 2Q26, driven by collaboration with China Mobile and AI-powered products, in our view. By segment, security products/security services recorded -5%/+28% y-y growth in 1H26.

Fig. 1: Venustech - 1H26 and 2Q26 results review

(CNY mn)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	1H22	2H22	1H23	2H23	1H24	2H24	1H25	2H25	1H26
	A	A	A	A	A	A	A	A	A	A	A	A	A	A	A	A	A	A	A
Revenue	923	651	752	989	641	492	415	790	667	567	1,214	3,223	1,522	2,985	1,574	1,741	1,133	1,205	1,235
% chg yoy	17%	-11%	-26%	-50%	-31%	-24%	-45%	-20%	4%	15%	0%	2%	25%	-7%	3%	-42%	-28%	-31%	9%
COGS	(454)	(231)	(368)	(315)	(264)	(190)	(138)	(384)	(279)	(262)	(399)	(1,258)	(605)	(1,299)	(684)	(683)	(454)	(521)	(541)
Gross Profit	469	421	385	674	377	302	278	406	388	305	815	1,965	917	1,686	889	1,059	679	684	694
OPEX	(593)	(523)	(429)	(530)	(506)	(461)	(418)	(514)	(357)	(340)	(1,302)	(1,046)	(1,145)	(930)	(1,117)	(959)	(966)	(932)	(697)
Operating Income (adjusted)	(125)	(103)	(44)	144	(129)	(159)	(141)	(108)	32	(35)	(487)	919	(228)	757	(227)	100	(288)	(249)	(4)
% chg yoy	-28%	84%	-154%	-79%	4%	55%	217%	-175%	-124%	-78%	57%	-8%	-53%	-18%	0%	-87%	27%	-348%	-99%
Finance Expense	27	11	9	14	7	3	3	2	1	1	4	3	7	9	37	23	10	5	2
Other gains/expense	(51)	(35)	(1)	(164)	108	43	12	(277)	13	7	132	74	361	(143)	(87)	(165)	152	(265)	20
Pretax income	(149)	(127)	(36)	(6)	(14)	(112)	(126)	(383)	46	(27)	(351)	996	140	622	(276)	(42)	(126)	(509)	18
% chg yoy	72%	-156%	-171%	-101%	-91%	-12%	250%	6102%	-436%	-76%	95%	-11%	-140%	-38%	-298%	-107%	-54%	1108%	-114%
Tax	34	56	7	(6)	14	16	3	25	3	9	99	(19)	42	(23)	90	1	30	28	13
Minority interests	2	2	1	(4)	2	2	0	2	0	0	2	(3)	3	(1)	4	(3)	3	2	0
Profit to shareholders	(113)	(69)	(28)	(16)	2	(95)	(122)	(357)	49	(18)	(250)	876	185	556	(182)	(44)	(93)	(479)	31
% chg yoy	72%	-128%	-149%	-103%	-101%	37%	340%	-2298%	2950%	81%	133%	-10%	-174%	-36%	-199%	-108%	49%	987%	133%
EPS	(0.10)	(0.06)	(0.02)	(0.01)	0.00	(0.08)	(0.10)	(0.29)	0.04	(0.01)	(0.27)	0.92	0.39	1.18	(0.39)	(0.07)	(0.15)	(0.79)	0.05
% chg yoy																			
Ratio Analysis																			
GPM	50.8%	64.6%	51.1%	68.1%	58.8%	61.4%	66.9%	51.4%	58.2%	53.8%	67.1%	61.0%	60.3%	56.5%	56.5%	60.8%	59.9%	56.7%	56.2%
OPEX	64.3%	80.4%	57.0%	53.5%	79.0%	93.6%	100.7%	65.1%	53.5%	60.0%	107.2%	32.5%	75.3%	31.1%	71.0%	55.1%	85.3%	77.4%	56.5%
OPM	-13.5%	-15.8%	-5.9%	14.6%	-20.2%	-32.3%	-33.8%	-13.7%	4.7%	-6.2%	-40.1%	28.5%	-15.0%	25.3%	-14.4%	5.7%	-25.4%	-20.6%	-0.3%
NPM	-12.3%	-10.6%	-3.7%	-1.6%	0.2%	-19.3%	-29.5%	-45.1%	7.3%	-3.2%	-20.6%	27.2%	12.1%	18.6%	-11.6%	-2.5%	-8.2%	-39.7%	2.5%

Source: Company data, Nomura research

Earnings forecast revisions

We introduce FY26-28F revenue forecasts with 12%/16%/18% y-y growth, to reflect the rising demand for AI security. We project FY26F earnings turning positive, and FY27F/28F earnings to grow 2301%/83% y-y from a low base, considering its topline growth and effective expense control.

Fig. 2: Venustech – earnings forecast revision

(CNY mn)	2023	2024	2025	2026F	2027F	2028F
	A	A	A	(NOM)	(NOM)	(NOM)
Revenue	4,507	3,315	2,338	2,621	3,031	3,583
% chg yoy	2%	-26%	-29%	12%	16%	18%
COGS	(1,904)	(1,367)	(975)	(999)	(1,108)	(1,288)
Gross Profit	2,603	1,948	1,362	1,622	1,923	2,296
OPEX	(2,075)	(2,075)	(1,899)	(1,631)	(1,795)	(2,050)
Operating Income (adjusted)	529	(127)	(537)	(9)	128	245
% chg yoy	22%	-124%	322%	-98%	-1602%	91%
Finance Expense	16	60	15	11	8	7
Other gains/expense	217	(252)	(114)	4	4	5
Pretax income	762	(319)	(635)	6	141	257
% chg yoy	18%	-142%	99%	-101%	2301%	83%
Tax	(23)	91	58	(1)	(13)	(23)
Minority interests	2	1	5	(0)	(1)	(2)
Profit to shareholders	741	(226)	(572)	5	127	232
% chg yoy	18%	-131%	153%	101%	2301%	83%
EPS	0.39	(0.10)	(0.31)	0.00	0.10	0.19
% chg yoy						
Ratio Analysis						
GPM	57.8%	58.8%	58.3%	61.9%	63.5%	64.1%
OPEX	46.0%	62.6%	81.2%	62.2%	59.2%	57.2%
OPM	11.7%	-3.8%	-23.0%	-0.3%	4.2%	6.8%
NPM	16.4%	-6.8%	-24.5%	0.2%	4.2%	6.5%

(CNY mn)	2023	2024	2025	2026F	2027F	2028F
Revenue by segment						
Security product	2,578	1,905	1,267	1,330	1,436	1,566
Security service	1,899	1,383	1,050	1,269	1,573	1,997
Others	30	28	21	21	21	21
y-y%						
Security product	-13%	-26%	-33%	5%	8%	9%
Security service	31%	-27%	-24%	21%	24%	27%
Others	13%	-7%	-24%	0%	0%	0%
weight%						
Security product	57%	57%	54%	51%	47%	44%
Security service	42%	42%	45%	48%	52%	56%
Others	1%	1%	1%	1%	1%	1%
GPM%						
Security product	60%	61%	63%	66%	66%	67%
Security service	55%	56%	53%	58%	61%	62%
Others	58%	51%	40%	40%	40%	40%

Source: Company data, Nomura estimates

Our FY26-28F revenue forecasts are 1-4% lower than WIND consensus estimates, as we are cautious on the company's topline growth due to intensified competition. Our FY26F earnings forecast is 77% lower than the WIND consensus and FY27-28F earnings forecasts are 1-11% higher than the market consensus, as we are more cautious on short-term margin dilution.

Fig. 3: Venustech - Nomura vs WIND consensus

(CNY mn)	2025	2026F			2027F			2028F		
	Actual	(NOM)	(CON)	diff	(NOM)	(CON)	diff	(NOM)	(CON)	diff
Revenue	2,338	2,621	2,739	-4%	3,031	3,161	-4%	3,583	3,618	-1%
Pretax Profit	(635)	6	25	-77%	141	126	12%	257	256	0%
Net Profit	(572)	5	23	-77%	127	115	11%	232	231	1%
EPS	(0.31)	0.00	0.02	-77%	0.10	0.09	11%	0.19	0.19	1%

Source: Company data, WIND consensus, Nomura estimates

Valuation and risks

Our TP of CNY13.37 is based on an unchanged DCF methodology (WACC: 10.7%, terminal growth rate: 3%; both metrics unchanged), implying 127.7x FY27F EPS of CNY0.1.

Fig. 4: Venustech - DCF valuation

Year	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026F	2027F	2028F	2029F	2030F	2031F	2032F	2033F	Terminal
Period											1	2	3	4	5	6	7	
Revenue	2,279	2,522	3,089	3,647	4,386	4,437	4,507	3,315	2,338	2,621	3,031	3,583	4,337	5,381	6,849	8,857	11,629	
Profit after tax	452	569	688	804	862	626	741	(226)	(572)	5	127	232	371	573	875	1,322	1,988	
CAPEX	(298)	(125)	(168)	(230)	(460)	(237)	(159)	(266)	(173)	(173)	(173)	(173)	(173)	(173)	(173)	(173)	(173)	
FCF	146	186	329	429	(142)	(248)	(552)	(581)	114	(201)	(80)	32	187	415	752	1,247	1,971	26,533
Discount factor											0.90	0.82	0.74	0.67	0.60	0.54	0.49	0.49
PV											-72	26	138	277	454	679	970	13,065
Assumptions																		
Risk-free rate	3.0%																	15,537
Market risk premium	7.0%																	+ cash 674
Beta	1.1																	- borrowing (14)
Terminal growth rate	3.0%																	- minority interest 0
WACC	10.7%																	PV of equity value 16,197
																		# of shares outstanding 1,211
																		Target price CNY 13

Source: Company data, Nomura estimates

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.

See [Disclaimers](#) for Nomura Group entity details.

Analyst Certification

I, Bing Duan, hereby certify (1) that the views expressed in this Research report accurately reflect my personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of my compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of my compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

Issuer Specific Regulatory Disclosures

The terms "Nomura" and "Nomura Group" used herein refer to Nomura Holdings, Inc. and its affiliates and subsidiaries, including Nomura Securities International, Inc. ('NSI') and Instinet, LLC ('ILLIC'), U. S. registered broker dealers and members of SIPC.

Materially mentioned issuers

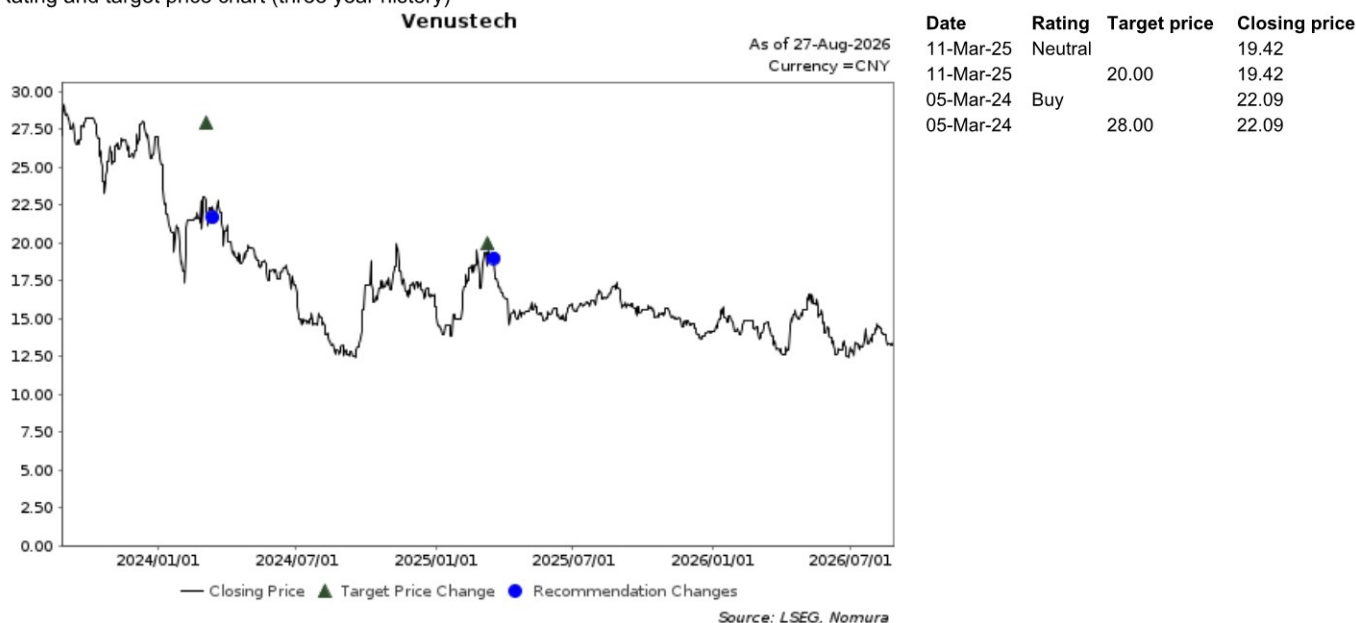
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Venustech	002439 CH	CNY 13.42	27-Aug-2026	Neutral	N/A	
China Mobile	941 HK	HKD 79.45	27-Aug-2026	Buy	N/A	A10

A10 The Nomura Group is a registered market maker in the securities / related derivatives of the issuer.

Venustech (002439 CH)

CNY 13.42 (27-Aug-2026) Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

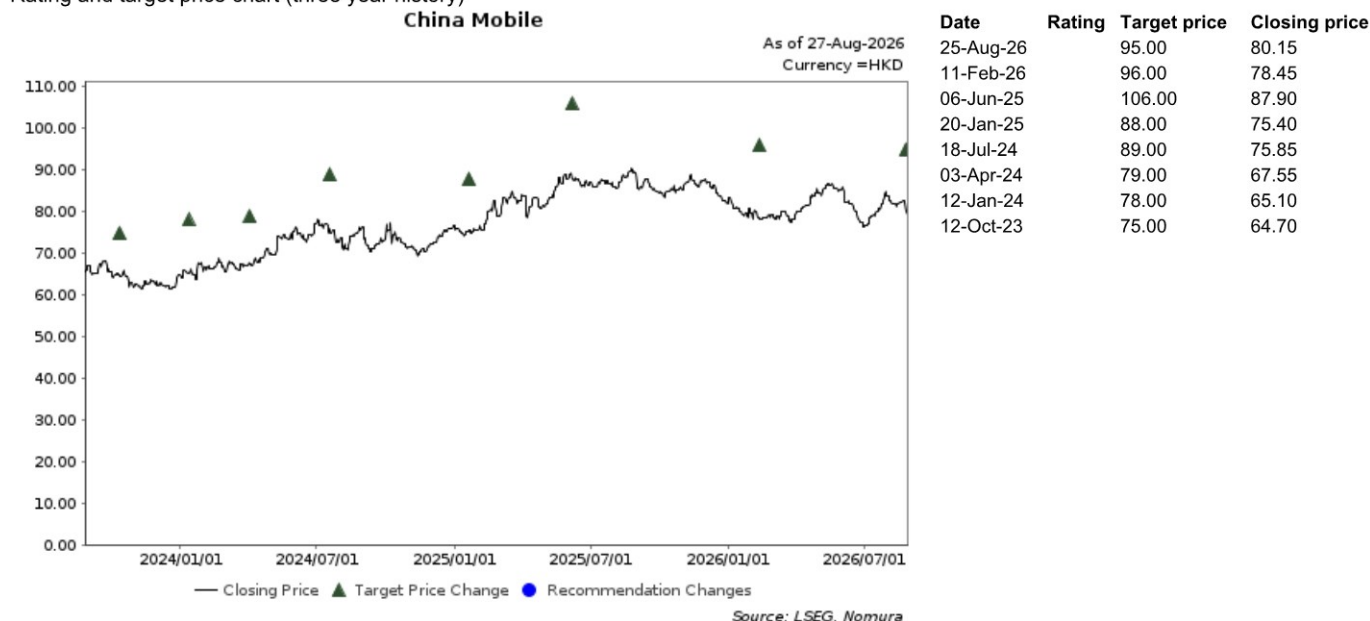
Valuation Methodology Our TP of CNY13.37 is based on a DCF valuation model with a WACC of 10.7% and terminal growth rate of 3%. Cash flows are discounted back to end-2026F. Our TP implies 127.7x 2027F EPS of CNY0.10. The benchmark index is CSI300.

Risks that may impede the achievement of the target price Downside risks include: 1) slower-than-expected IT security spending recovery from key downstream industries, including government, and finance; 2) fiercer competition from other IT security companies in China; 3) slower-than-expected product and market development with China Mobile Group; 4) worse-than-expected geopolitical risks. Upside risks include: 1) faster-than-expected IT security spending recovery from key customers; 2) faster-than-expected industry consolidation and less competition; 3) faster-than-expected product ramp up from China Mobile Group.

China Mobile (941 HK)

HKD 79.45 (27-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of HKD95.00 implies a P/E ratio of 13.8x on 2027F EPS of CNY5.99, P/B of 1.2x on 2027F BVPS of CNY69.0, 4.5x 2027F EV/EBITDA, and 5.3% 2027F dividend yield. Our DCF valuation assumes a WACC of 9.2%, market risk premium of 7% and terminal growth rate of 0%. The benchmark index for this stock is the Hang Seng Index.

Risks that may impede the achievement of the target price Downside risks to our investment thesis include: 1) further intensified competition, which would hurt CM's EBITDA margin and market share; 2) a higher-than-expected 5G capex and faster-than-expected 5G rollout; and 3) potential asymmetric regulatory risk.

Important Disclosures

Online availability of research and conflict-of-interest disclosures

Nomura Group research is available on www.nomuranow.com/research, Bloomberg, Capital IQ, Factset, LSEG.

Important disclosures may be read at <http://go.nomuranow.com/research/m/Disclosures> or requested from Nomura Securities International, Inc.

If you have any difficulties with the website, please email grpsupport@nomura.com for help.

The analysts responsible for preparing this report have received compensation based upon various factors including the firm's total revenues, a portion of which is generated by Investment Banking activities. Unless otherwise noted, the non-US analysts listed at the front of this report are not registered/qualified as research analysts under FINRA rules, may not be associated persons of NSI, and may not be subject to FINRA Rule 2241 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Nomura Global Financial Products Inc. (NGFP) Nomura Derivative Products Inc. (NDP) and Nomura International plc. (NIplc) are registered with the Commodities Futures Trading Commission and the National Futures Association (NFA) as swap dealers. NGFP, NDPI, and NIplc are generally engaged in the trading of swaps and other derivative products, any of which may be the subject of this report.

Distribution of ratings (Nomura Group)

The distribution of all ratings published by Nomura Group Global Equity Research is as follows:

58% have been assigned a Buy rating which, for purposes of mandatory disclosures, are classified as a Buy rating; 33% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services** by the Nomura Group.

39% have been assigned a Neutral rating which, for purposes of mandatory disclosures, is classified as a Hold rating; 57% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group

3% have been assigned a Reduce rating which, for purposes of mandatory disclosures, are classified as a Sell rating; 15% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group.

As at 30 June 2026.

*The Nomura Group as defined in the Disclaimer section at the end of this report.

** As defined by the EU Market Abuse Regulation

Definition of Nomura Group's equity research rating system and sectors

The rating system is a relative system, indicating expected performance against a specific benchmark identified for each individual stock, subject to limited management discretion. An analyst's target price is an assessment of the current intrinsic fair value of the stock based on an

appropriate valuation methodology determined by the analyst. Valuation methodologies include, but are not limited to, discounted cash flow analysis, expected return on equity and multiple analysis. Analysts may also indicate expected absolute upside/downside relative to the stated target price, defined as (target price - current price)/current price.

STOCKS

A rating of **'Buy'**, indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of **'Neutral'**, indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of **'Reduce'**, indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of **'Suspended'**, indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as **'Not rated'** or shown as **'No rating'** are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan**: please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at: <http://go.nomuranow.com/research/m/Disclosures>; **Global Emerging Markets (ex-Asia)**: MSCI Emerging Markets ex-Asia, unless otherwise stated in the valuation methodology; **Japan**: Russell/Nomura Large Cap.

SECTORS

A **'Bullish'** stance, indicates that the analyst expects the sector to outperform the Benchmark during the next 12 months. A **'Neutral'** stance, indicates that the analyst expects the sector to perform in line with the Benchmark during the next 12 months. A **'Bearish'** stance, indicates that the analyst expects the sector to underperform the Benchmark during the next 12 months. Sectors that are labelled as **'Not rated'** or shown as **'N/A'** are not assigned ratings. Benchmarks are as follows: **United States**: S&P 500; **Europe**: Dow Jones STOXX 600; **Global Emerging Markets (ex-Asia)**: MSCI Emerging Markets ex-Asia. **Japan/Asia ex-Japan**: Sector ratings are not assigned.

Target Price

A Target Price, if discussed, indicates the analyst's forecast for the share price with a 12-month time horizon, reflecting in part the analyst's estimates for the company's earnings. The achievement of any target price may be impeded by general market and macroeconomic trends, and by other risks related to the company or the market, and may not occur if the company's earnings differ from estimates.

Disclaimers

This publication contains material that has been prepared by the Nomura Group entity identified on page 1 and, if applicable, with the contributions of one or more Nomura Group entities whose employees and their respective affiliations are specified on page 1 or identified elsewhere in this publication. The term "Nomura Group" used herein refers to Nomura Holdings, Inc. and its affiliates and subsidiaries including: (a) Nomura Securities Co., Ltd. ('NSC') Tokyo, Japan, (b) Nomura Financial Products Europe GmbH ('NFPE'), Germany, (c) Nomura International plc ('Nipic'), UK, (d) Nomura Securities International, Inc. ('NSI'), New York, US, (e) Nomura International (Hong Kong) Ltd. ('NIHK'), Hong Kong, (f) Nomura Financial Investment (Korea) Co., Ltd. ('NFIK'), Korea (Information on Nomura analysts registered with the Korea Financial Investment Association ('KOFIA') can be found on the KOFIA Intranet at <http://dis.kofia.or.kr>), (g) Nomura Singapore Ltd. ('NSL'), Singapore (Registration number 197201440E, regulated by the Monetary Authority of Singapore) (h) Nomura Australia Ltd. ('NAL'), Australia (ABN 48 003 032 513), regulated by the Australian Securities and Investment Commission ('ASIC') and holder of an Australian financial services licence number 246412, (i) Nomura Securities Malaysia Sdn. Bhd. ('NSM'), Malaysia, (j) NIHK, Taipei Branch ('NITB'), Taiwan, (k) Nomura Financial Advisory and Securities (India) Private Limited ('NFASL'), Mumbai, India (Registered Address: Ceejay House, Level 11, Plot F, Shivsagar Estate, Dr. Annie Besant Road, Worli, Mumbai- 400 018, India; Tel: 91 22 4037 4037, Fax: 91 22 4037 4111; CIN No: U74140MH2007PTC169116, SEBI Registration No. for Stock Broking activities : INZ000255633; SEBI Registration No. for Merchant Banking : INM000011419; SEBI Registration No. for Research: INH000001014 - Compliance Officer: Ms. Pratiksha Tondwalkar, 91 22 40374904, grievance email: investorgrievancesra@nomura.com Webpage: [LINK](#)

For reports with respect to Indian public companies or authored by India-based NFASL research analysts: (i) Investment in securities markets is subject to market risks. Read all the related documents carefully before investing. (ii) Registration granted by SEBI, and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. (iii) NFASL terms and conditions for availing research services is disclosed on NFASL webpage.

(l) Nomura Fiduciary Research & Consulting Co., Ltd. ('NFRCC') Tokyo, Japan. (m) Nomura Orient International Securities Co., Ltd ('NOI'), is a majority owned joint venture amongst Nomura Group, Orient International (Holding) Co., Ltd, and Shanghai Huangpu Investment Holding (Group) Co., Ltd. In accordance with the laws of the People's Republic of China ("PRC", excluding Hong Kong, Macau and Taiwan, for the purpose of this document), NOI is licensed in the PRC to provide securities research and investment recommendations and it operates independently from the other members of the Nomura Group; in particular, NOI's interests in PRC securities are not disclosed to, or aggregated with the holdings of, any other Nomura Group entities and the interests in PRC securities of other Nomura Group entities are not disclosed to, or aggregated with the holdings of, NOI. An individual name printed next to NOI on the front page of a research report indicates that individual is employed by NOI to provide research assistance to NIHK under a research partnership agreement. 'NSFSPL' next to an employee's name on the front page of a research report indicates that the individual is employed by Nomura Structured Finance Services Private Limited to provide assistance to certain Nomura entities under inter-company agreements. 'Verdhana' next to an individual's name on the front page of a research report indicates that the individual is employed by PT Verdhana Sekuritas Indonesia ('Verdhana') to provide research assistance to NIHK under a research partnership agreement and neither Verdhana nor such individual is licensed outside of Indonesia.

THIS MATERIAL IS: (I) FOR YOUR PRIVATE INFORMATION, AND WE ARE NOT SOLICITING ANY ACTION BASED UPON IT; (II) NOT TO BE CONSTRUED AS AN OFFER TO SELL OR A SOLICITATION OF AN OFFER TO BUY ANY SECURITIES IN ANY JURISDICTION WHERE SUCH OFFER OR SOLICITATION WOULD BE ILLEGAL; AND (III) OTHER THAN DISCLOSURES RELATING TO THE NOMURA GROUP, BASED UPON INFORMATION FROM SOURCES THAT WE CONSIDER RELIABLE, BUT HAS NOT BEEN INDEPENDENTLY VERIFIED BY NOMURA GROUP.

Other than disclosures relating to the Nomura Group, the Nomura Group does not warrant, represent or undertake, express or implied, that the document is fair, accurate, complete, correct, reliable or fit for any particular purpose or merchantable, and to the maximum extent permissible by law and/or regulation, does not accept liability (in negligence or otherwise, and in whole or in part) for any act (or decision not to act) resulting from use of this document and related data. To the maximum extent permissible by law and/or regulation, all warranties and other assurances by the Nomura Group are hereby excluded and the Nomura Group shall have no liability (in negligence or otherwise, and in whole or in part) for any loss howsoever arising from the use, misuse, or distribution of this material or the information contained in this material or otherwise arising in connection therewith.

Opinions or estimates expressed are current opinions as of the original publication date appearing on this material and the information, including the opinions and estimates contained herein, are subject to change without notice. The Nomura Group, however, expressly disclaims any obligation, and therefore is under no duty, to update or revise this document. Any comments or statements made herein are those of the author(s) and may differ from views held by other parties within Nomura Group. Clients should consider whether any advice or recommendation in this report is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The Nomura Group does not provide tax advice.

The Nomura Group, and/or its officers, directors, employees and affiliates, may, to the extent permitted by applicable law and/or regulation, deal as principal, agent, or otherwise, or have long or short positions in, or buy or sell, the securities, commodities or instruments, or options or other derivative instruments based thereon, of issuers or securities mentioned herein. The Nomura Group companies may also act as market maker or liquidity provider (within the meaning of applicable regulations in the UK) in the financial instruments of the issuer. Where the activity of market maker is carried out in accordance with the definition given to it by specific laws and regulations of the US or other jurisdictions, this will be separately disclosed within the specific issuer disclosures.

This document may contain information obtained from third parties, including, but not limited to, ratings from credit ratings agencies such as Standard & Poor's. The Nomura Group hereby expressly disclaims all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of the information obtained from third parties contained in this material or otherwise arising in connection therewith, and shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of any of the information obtained from third parties contained in this material or otherwise arising in connection therewith. Reproduction and distribution of third-party content in any form is prohibited except with the prior written permission of the related third-party. Third-party content providers do not, express or implied, guarantee the fairness, accuracy, completeness, correctness, timeliness or availability of any information, including ratings, and are not in any way responsible for any errors or omissions (negligent or otherwise), regardless of the cause, or for the results obtained from the use or misuse of such content. Third-party content providers give no express or implied warranties, including, but not limited to, any warranties of merchantability or fitness for a particular purpose or use. Third-party content providers shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of their content, including ratings. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice. Any MSCI sourced information in this document is the exclusive property of MSCI Inc. ('MSCI'). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be duplicated, reproduced, re-disseminated, redistributed or used, in whole or in part, for any purpose whatsoever, including creating any financial products and any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of this material or the information contained in this material or otherwise arising in connection therewith. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability (in negligence or otherwise, and in whole or in part) for any damages of any kind. MSCI and the MSCI indexes are services marks of MSCI and its affiliates.

The intellectual property rights and any other rights, in Russell/Nomura Japan Equity Index belong to Nomura Fiduciary Research & Consulting Co., Ltd. ("NFRC") and FTSE Russell ("Russell"). NFRC and Russell do not guarantee fairness, accuracy, completeness, correctness, reliability, usefulness, marketability, merchantability or fitness of the Index, and do not account for business activities or services that any index user and/or its affiliates undertakes with the use of the Index.

Investors should consider this document as only a single factor in making their investment decision and, as such, the report should not be viewed as identifying or suggesting all risks, direct or indirect, that may be associated with any investment decision. Nomura Group produces a number of different types of research product including, among others, fundamental analysis and quantitative analysis; recommendations contained in one type of research product may differ from recommendations contained in other types of research product, whether as a result of differing time horizons, methodologies or otherwise. The Nomura Group publishes research product in a number of different ways including the posting of product on the Nomura Group portals and/or distribution directly to clients. Different groups of clients may receive different products and services from the research department depending on their individual requirements.

Figures presented herein may refer to past performance or simulations based on past performance which are not reliable indicators of future or likely performance. Where the information contains an expectation, projection or indication of future performance and business prospects, such forecasts may not be a reliable indicator of future or likely performance. Moreover, simulations are based on models and simplifying assumptions which may oversimplify and not reflect the future distribution of returns. Any figure, strategy or index created and published for

illustrative purposes within this document is not intended for "use" as a "benchmark" as defined by the European Benchmark Regulation. Certain securities are subject to fluctuations in exchange rates that could have an adverse effect on the value or price of, or income derived from, the investment.

With respect to Fixed Income Research: Recommendations fall into two categories: tactical, which typically last up to three months; or strategic, which typically last from 6-12 months. However, trade recommendations may be reviewed at any time as circumstances change. 'Stop loss' levels for trades are also provided; which, if hit, closes the trade recommendation automatically. Prices and yields shown in recommendations are taken at the time of submission for publication and are based on either indicative Bloomberg, LSEG or Nomura prices and yields at that time. The prices and yields shown are not necessarily those at which the trade recommendation can be implemented.

The securities described herein may not have been registered under the US Securities Act of 1933 (the '1933 Act'), and, in such case, may not be offered or sold in the US or to US persons unless they have been registered under the 1933 Act, or except in compliance with an exemption from the registration requirements of the 1933 Act. Unless governing law permits otherwise, any transaction should be executed via a Nomura entity in your home jurisdiction.

This document has been approved for distribution in the UK as investment research by Nlplc. Nlplc is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority. Nlplc is a member of the London Stock Exchange. This document does not constitute a personal recommendation within the meaning of applicable regulations in the UK, or take into account the particular investment objectives, financial situations, or needs of individual investors. This document is intended only for investors who are 'eligible counterparties' or 'professional clients' for the purposes of applicable regulations in the UK, and may not, therefore, be redistributed to persons who are 'retail clients' for such purposes.

This document has been approved for distribution in the European Economic Area as investment research by Nomura Financial Products Europe GmbH ("NFPE"). NFPE is a company organized as a limited liability company under German law registered in the Commercial Register of the Court of Frankfurt/Main under HRB 110223. NFPE is authorized and regulated by the German Federal Financial Supervisory Authority (BaFin).

This document has been approved by NlHK, which is regulated by the Hong Kong Securities and Futures Commission, for distribution in Hong Kong by NlHK. This document is intended only for investors who are 'professional investors' for the purposes of applicable regulations in Hong Kong and may not, therefore, be redistributed to persons who are not 'professional investors' for such purposes.

This document has been approved for distribution in Australia by NAL, which is authorized and regulated in Australia by the ASIC.

This document has also been approved for distribution in Malaysia by NSM.

In Singapore, this document has been distributed by NSL, an exempt financial adviser as defined under the Financial Advisers Act (Chapter 110), among other things, and regulated by the Monetary Authority of Singapore. NSL may distribute this document produced by its foreign affiliates pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. This document is intended for accredited, expert or institutional investors as defined by the Securities and Futures Act (Chapter 289). Where the recipient of this document is not an accredited, expert or institutional investor, NSL accepts legal responsibility for the contents of this document in respect of such recipient only to the extent required by law. Recipients of this document in Singapore should contact NSL in respect of matters arising from, or in connection with, this document. THIS DOCUMENT IS INTENDED FOR GENERAL CIRCULATION. IT DOES NOT TAKE INTO ACCOUNT THE SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS OF ANY PARTICULAR PERSON. RECIPIENTS SHOULD TAKE INTO ACCOUNT THEIR SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS BEFORE MAKING A COMMITMENT TO PURCHASE ANY SECURITIES, INCLUDING SEEKING ADVICE FROM AN INDEPENDENT FINANCIAL ADVISER REGARDING THE SUITABILITY OF THE INVESTMENT, UNDER A SEPARATE ENGAGEMENT, AS THE RECIPIENT DEEMS FIT. Unless prohibited by the provisions of Regulation S of the 1933 Act, this material is distributed in the US, by NSI, a US-registered broker-dealer, which accepts responsibility for its contents in accordance with the provisions of Rule 15a-6, under the US Securities Exchange Act of 1934. The entity that prepared this document permits its separately operated affiliates within the Nomura Group to make copies of such documents available to their clients.

This document has not been approved for distribution to persons other than 'Authorised Persons', 'Exempt Persons' or 'Institutions' (as defined by the Capital Markets Authority) in the Kingdom of Saudi Arabia ('Saudi Arabia') or a 'Market Counterparty' or a 'Professional Client' (as defined by the Dubai Financial Services Authority) in the United Arab Emirates ('UAE') or a 'Market Counterparty' or a 'Business Customer' (as defined by the Qatar Financial Centre Regulatory Authority) in the State of Qatar ('Qatar') by Nomura Saudi Arabia, Nlplc or any other member of the Nomura Group, as the case may be. Neither this document nor any copy thereof may be taken or transmitted or distributed, directly or indirectly, by any person other than those authorised to do so into Saudi Arabia or in the UAE or in Qatar or to any person other than 'Authorised Persons', 'Exempt Persons' or 'Institutions' located in Saudi Arabia or a 'Market Counterparty' or a 'Professional Client' in the UAE or a 'Market Counterparty' or a 'Business Customer' in Qatar. Any failure to comply with these restrictions may constitute a violation of the laws of the UAE or Saudi Arabia or Qatar.

For report with reference of TAIWAN public companies or authored by Taiwan based research analyst:

THIS DOCUMENT IS SOLELY FOR REFERENCE ONLY. You should independently evaluate the investment risks and are solely responsible for your investment decisions. NO PORTION OF THE REPORT MAY BE REPRODUCED OR QUOTED BY THE PRESS OR ANY OTHER PERSON WITHOUT WRITTEN AUTHORIZATION FROM NOMURA GROUP. Pursuant to Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers and/or other applicable laws or regulations in Taiwan, you are prohibited to provide the reports to others (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities in connection with the reports which may involve conflicts of interests. INFORMATION ON SECURITIES / INSTRUMENTS NOT EXECUTABLE BY NOMURA INTERNATIONAL (HONG KONG) LTD., TAIPEI BRANCH IS FOR INFORMATIONAL PURPOSES ONLY AND IS NOT BE CONSTRUED AS A RECOMMENDATION OR A SOLICITATION TO TRADE IN SUCH SECURITIES / INSTRUMENTS.

This material may not be distributed in Indonesia or passed on within the territory of the Republic of Indonesia or to persons who are Indonesian citizens (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the laws of the Republic of Indonesia. The securities mentioned in this document may not be offered or sold in Indonesia or to persons who are citizens of Indonesia (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public

offering under the laws of the Republic of Indonesia.

An individual name printed next to NOI on the front page of a research report indicates that this document is a translation of a research report issued by NOI in the PRC. In all other cases, this document is prepared by Nomura Group or its subsidiary or affiliate (collectively, "Offshore Issuers") that is not licensed in the PRC to provide securities research. This research report is not approved or intended to be circulated in the PRC. The A-share related analysis (if any) is not produced for any persons located or incorporated in the PRC. The recipients should not rely on any information contained in this research report in making investment decisions and Offshore Issuers take no responsibility in this regard. NO PART OF THIS MATERIAL MAY BE (I) COPIED, PHOTOCOPIED, REPRODUCED OR DUPLICATED IN ANY FORM, BY ANY MEANS; OR (II) REDISSEMINATED, REPUBLISHED OR REDISTRIBUTED WITHOUT THE PRIOR WRITTEN CONSENT OF A MEMBER OF THE NOMURA GROUP. If this document has been distributed by electronic transmission, such as e-mail, then such transmission cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain viruses. The sender therefore does not accept liability (in negligence or otherwise, and in whole or in part) for any errors or omissions in the contents of this document, which may arise as a result of electronic transmission. If verification is required, please request a hard-copy version.

The Nomura Group manages conflicts with respect to the production of research through its compliance policies and procedures (including, but not limited to, Conflicts of Interest, Chinese Wall and Confidentiality policies) as well as through the maintenance of Chinese Walls and employee training.

Additional information regarding the methodologies or models used in the production of any investment recommendations contained within this document is available upon request by contacting the Research Analysts of Nomura listed on the front page. Disclosures information is available upon request and disclosure information is available at the Nomura Disclosure web page:

<http://go.nomuranow.com/research/m/Disclosures>

Copyright © 2026 Nomura International (Hong Kong) Ltd., Hong Kong. All rights reserved.